

GIG ECONOMY AND ENTREPRENEURSHIP

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ENHANCEMENT III
22020497

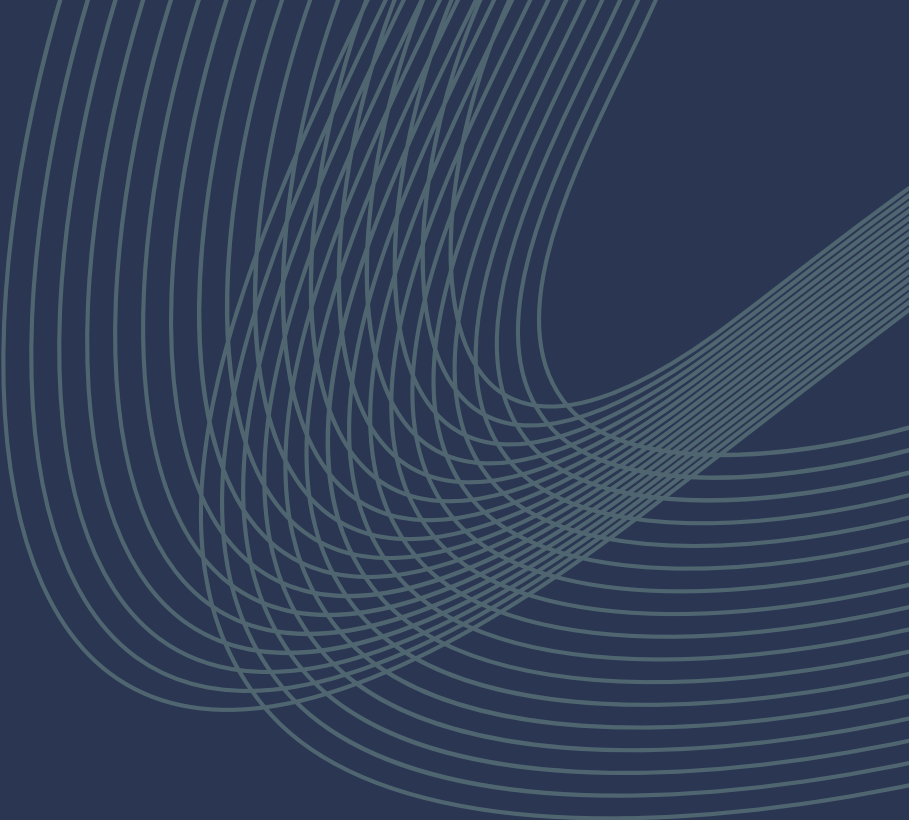


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INTRODUCTION

Let's explore what gig economy is about. 'Gig' refer to the short term arrangement for a musical event. There is no gurantee that this event would take place repeatedly and for that the singer/band has to deliver a good performance.

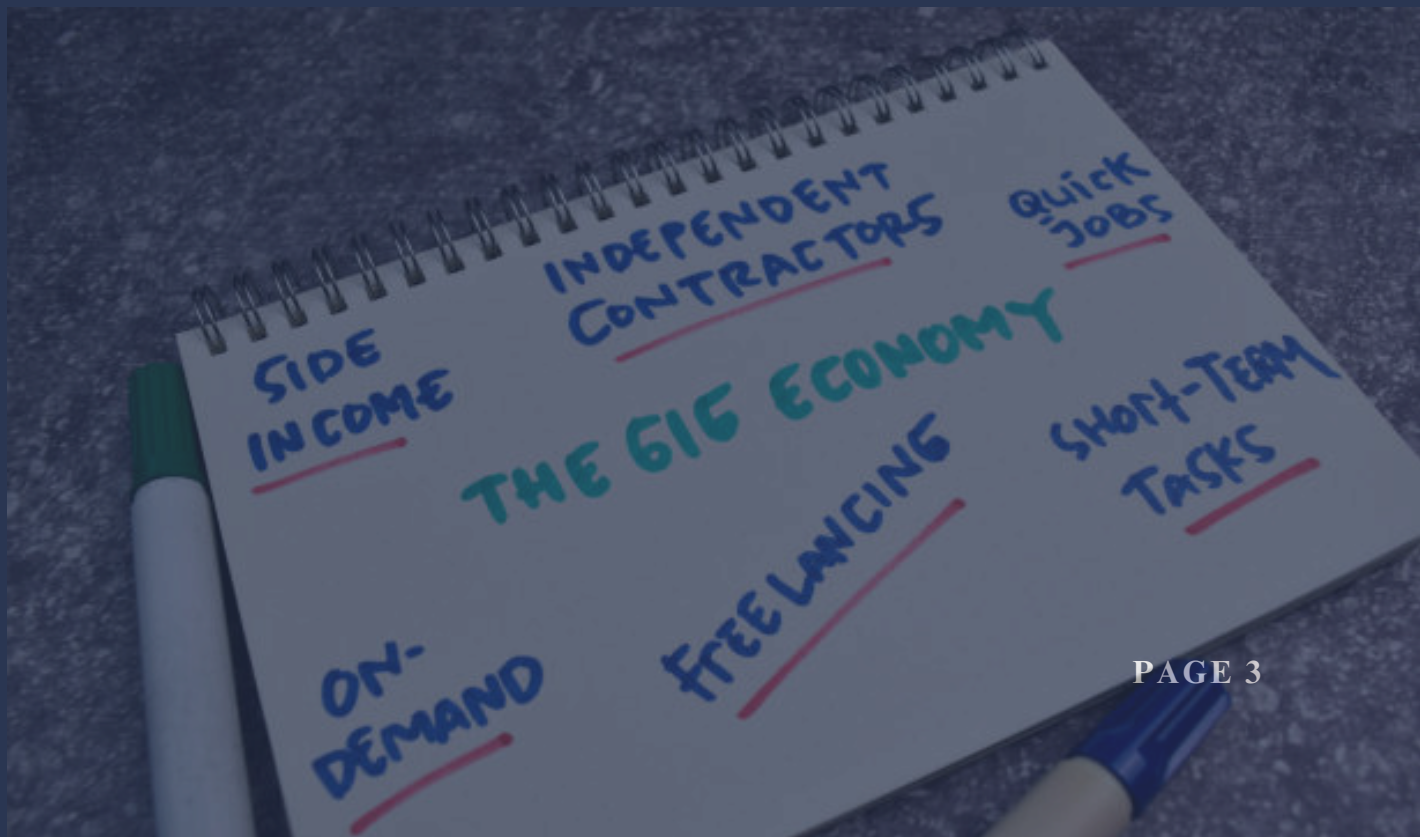
We are going use the above example to explain the gig economy. Gig economy is a segment of service economy based on flexible, temporary or freelance jobs. This involves connecting clients and customers through an online platform.

According to the example we have taken to explain the nature of gig economy,

the performers of the event would have a chance of playing again only if they perform well or become popular. This could be a one time performance. As for the payment, they may have a fixed fee, a share of the ticket price or payment in other form or they might not be paid at all.

This is the nature of gig economy; it is short,temporary, unpredictable and gaining gig work depends on one's work/task performance and reputation.

Through this report, we will analyze and discuss the effect gig economy has on new entrepreneurs.



GIG ECONOMY STRATEGIES FOR BUSINESS GROWTH

- Businesses can digitally outsource tasks and processes to remote workforces by using the modern gig economy to allow firms to access labour for specific needs.
- Businesses can leverage online labour marketplaces to facilitate the exchange of talent and capital with workers.
- Businesses are able to match independent **skill sets to specific** labour needs through gig economy arrangements
- Businesses can take advantage of technology that reduces task complexity, enabling the engagement of workers with fewer skills to complete jobs

Moreover, startups are able to experiment with various business models and lean operational structures. Since technology/digital platforms have become the centerpiece facilitating gig economy by providing the infrastructure to intermediate between the supply and demand of labour. These platforms offer tools for recruitment, task managing and payment processment, which increases efficiency in startups.

However the effectiveness of these gig economy strategies are influenced by market conditions and policy. Economic downturns can increase the supply of gig workers, lowering costs, but it may also intensify competition. Regulatory changes such as stricter enforcement of labour laws or the reclassification of gig workers impact the financial viability of startups. Startups should be able to continuously adapt to this evolving environment due to these forces.

ADVANTAGES OF LEVERAGING GIG WORK, FREELANCING AND INDEPENDENT CONTRACTING AS PART OF A STARTUP STRATEGY

- The primary advantage for startups is the flexibility offered by the gig economy since they operate with limited resources and fluctuating workloads. By leveraging gig work, freelancers and independent contractors allows them to scale their workforce as needed, engage talent for specific projects or tasks without long term commitment. Employers can also choose when and how they want to hire workers.
- Gig economy can provide access to a wider pool of skills and talent, which is more than the available ones found through local hiring or affordable full-time recruitment. Freelancing platforms help entrepreneurs to connect with individuals with niche skills across different regions. This would lead to startups requiring specialised expertise for short-term projects.
- By leveraging gig work, startups can avoid costs associated with employee benefits such as health insurance, paid leave and retirement contributions. Platforms often handle the administrative aspects of connecting businesses with gig workers, reducing the burden on the startup
- Platform-enabled gig economy would encourage new business formation by giving potential entrepreneurs a sense of peace to launch new ventures since income can be supplemented through gig work while reducing risk for startups.

DISADVANTAGES OF LEVERAGING GIG WORK, FREELANCING AND INDEPENDENT CONTRACTING AS PART OF A STARTUP STRATEGY

- Startups may lack direct control over gig workers and the potential of inconsistent quality of work which would make it difficult to ensure consistent standards and maintain brand reputation.
- High turnover rates among gig workers would lead to disruption of projects and requirement of recruitment efforts. Moreover, lack of employment protection in gig economy can result in ethical concerns and potential reputational damage perceived as exploiting gig workers.
- Managing and coordinating a distributed workforce can be more complex due to the need of effective communication, clear task delegation and performance monitoring since these gig workers may not be physically present or integrated into the company culture.
- Startups may have to deal with a strong market for skilled independent contractors and freelancers, which might push up prices for in-demand skills.



CONCLUSION

As per the discussion so far, it is evident that gig economy provides new entrepreneurs with significant opportunities and notable challenges in the early stages of business initiation and growth. The flexibility is presented as well as a safety net for startups with reduced risk. However, startups should keep potential challenges in mind and adapt to changes that occur regarding the legal and regulatory landscape or ethical considerations. Clear communication, well established quality control mechanisms may help overcome risks and challenges. Gig economy can be utilized to the advantage of new entrepreneurs, however this would require effective balancing of both pros and cons which would lead to success in today's dynamic business environment combined with adaptability to changing market conditions.

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